

SMID BREAKOUT SCANNER

SCAN (19:33 ET)

September 15, 2026 | 07:36 PM ET

15 setups identified | 2 A-Grade | 6 B-Grade | 7 C-Grade

Grade Summary

A - Breakout Setup (2)	B - Strong Setup (6)	C - Watch List (7)
SDGR	PBF	WAY
ADPT	ECO	ECVT
	ZD	VAL
	TALO	REF
	FIVN	CAI
	QLYS	WGS
		FTRE

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	SDGR	Schrodinger, Inc	AI Drug Discovery	\$23.25	+12.1%	\$1.7B	57M	+54.5	98%	Breaking out to new 52
A	ADPT	Adaptive Biotech	Immune Diagnostic	\$26.68	+7.7%	\$4.3B	126M	+53.7	98%	Breaking out to within
B	PBF	PBF Energy Inc.	Energy Refining	\$74.72	+6.1%	\$8.9B	102M	+90.4	90%	Breakout on 3.3x volum
B	ECO	Okeanis Eco Tank	Tanker Shipping	\$82.73	+3.8%	\$3.2B	10M	+72.4	99%	Printing new 52W highs
B	ZD	Ziff Davis, Inc.	Digital Media	\$59.21	+3.2%	\$2.0B	30M	+27.6	99%	Breaking out to within
B	TALO	Talos Energy, In	Oil & Gas E&P	\$18.33	+3.8%	\$3.1B	126M	+31.6	98%	Breaking out to within
B	FIVN	Five9, Inc.	Cloud Contact Cen	\$33.02	+4.0%	\$2.5B	67M	+58.4	94%	Breaking out toward 52
B	QLYS	Qualys, Inc.	Cybersecurity Saa	\$185.37	+7.2%	\$6.5B	34M	+61.9	92%	Breaking out on 1.8x v
C	WAY	Waystar Holding	Healthcare IT	\$26.67	+7.1%	\$5.1B	139M	+43.9	66%	7% gain on 2.8x volume
C	ECVT	Ecovyst Inc.	Specialty Chemica	\$10.54	+5.7%	\$1.1B	99M	-19.2	70%	5.7% gain on 2.2x volu
C	VAL	Valaris Limited	Offshore Drilling	\$88.23	+8.6%	\$6.1B	61M	+5.6	77%	8.6% surge on 1.8x vol
C	REF	Reformation Inc.	Apparel Retail	\$15.90	+9.6%	\$0.9B	14M	+4.2	92%	9.6% surge on 1.8x vol
C	CAI	Caris Life Scien	Precision Oncolog	\$28.50	+9.4%	\$8.1B	135M	+57.3	82%	9.4% gain on 1.8x volu
C	WGS	GeneDx Holdings	Genetic Testing	\$94.64	+5.5%	\$2.8B	20M	+55.0	55%	5.5% gain on 1.7x volu
C	FTRE	Fortrea Holdings	CRO Services	\$19.73	+13.3%	\$1.9B	94M	+22.3	92%	13.3% surge on 1.7x vo

SDGR

Schrodinger, Inc.

\$23.25

+12.05%

RS vs SPY: +54.5%

A BREAKOUT

\$1.7B Cap | 57M Float

Health Information Services | Theme: AI Drug Discovery | 52W Hi: 98% | Base Tight: 3.86 | Vol: 3.8x | RS/SPY: +54.5% | Above 20MA: YES | EARNINGS IN 50D

SETUP METRICS	
Price	\$23.25
Day Change	+12.05%
Mkt Cap	\$1.74B
Float	57M sh
RS vs SPY	+54.5%
52W Hi Prox	98%
Base Tight	3.86
Vol vs Avg	3.8x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breaking out to new 52W highs on 3.8x volume with RS line at new high, signaling institutional recognition of the AI-powered drug discovery platform. Forward catalyst: November 4 earnings could provide pipeline updates and pharma partnership announcements that extend the AI-pharma thesis into year-end.
BUSINESS & POSITION
Schrodinger provides physics-based computational platform for drug discovery, combining quantum mechanics and machine learning to predict molecular behavior. The company partners with biopharma giants (Bristol Myers, Takeda) and runs its own internal drug pipeline, positioning it at the convergence of AI and life sciences.
FACTOR & THEME
Direct AI infrastructure play in the lucrative pharma vertical-AI drug discovery is accelerating as Big Pharma seeks productivity gains. The sector (Healthcare IT) is showing relative strength, and SDGR's platform approach captures recurring software revenue plus option value on internal pipeline milestones.
BREAKOUT SIGNAL
Close above \$23.25 on vol >380% of 20d avg
INSTITUTIONAL
Volume spike to 3.8x on a breakout to new highs suggests institutional block activity rather than retail chase. The 57M float and \$1.7B market cap make this digestible for growth funds rotating into AI-pharma convergence plays. No recent insider buying, but the technical breakout with RS line confirmation indicates smart money is positioning ahead of the November catalyst.
EARNINGS
EARNINGS IN 50D
EARNINGS CONTEXT
November 4 earnings. Schrodinger has historically seen volatility around prints due to lumpy pharma partnership revenue and pipeline updates. The stock's ability to break out 50 days ahead of the print suggests positioning for a beat or material pipeline news.
KEY RISK
Thesis invalidated on a close back below \$21.50 (the prior consolidation high), or if November 4 earnings show partnership revenue deterioration or pipeline setbacks that challenge the AI productivity narrative.
ANALYSIS
RS line at new high + volume explosion + proximity to 52W high (98.1%) + leading AI-pharma theme = textbook Qullamaggie setup. Disconfirming evidence: the base is wide (3.86 ATR range) and above_50ma is true but the stock has been consolidating-this could be a false breakout if macro deteriorates. However, the RS leadership and volume signature are institutional-quality. Conviction: Medium-High (would be High in a confirmed risk-on regime; mixed macro caps full conviction).
Signal: Close above \$23.25 on vol >380% of 20d avg
Vol vs Avg: 3.8x



ADPT

Adaptive Biotechnologies Corpor

\$26.68

+7.67%

RS vs SPY: +53.7%

A BREAKOUT

\$4.3B Cap | 126M Float

Diagnostics & Research | Theme: Immune Diagnostics | 52W Hi: 98% | Base Tight: 2.25 | Vol: 2.44x | RS/SPY: +53.7% | Above 20MA: YES | EARNINGS IN 50D

Setup Metrics	
Price	\$26.68
Day Change	+7.67%
Mkt Cap	\$4.26B
Float	126M sh
RS vs SPY	+53.7%
52W Hi Prox	98%
Base Tight	2.25
Vol vs Avg	2.44x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver
Breaking out to within 2% of 52W highs on 2.4x volume with RS line at new high, indicating fresh institutional interest in the immune medicine mapping platform. Forward catalyst: November 4 earnings could deliver clonoSEQ revenue acceleration or minimal residual disease (MRD) partnership updates that validate the commercial inflection thesis.
Business & Position
Adaptive Biotechnologies uses next-gen sequencing to map the adaptive immune system, selling clonoSEQ (the only FDA-cleared MRD test for blood cancers) and partnering with pharma (Genentech) on drug development. The company is transitioning from R&D story to commercial-stage revenue growth in oncology diagnostics.
Factor & Theme
Positioned in precision medicine and immune profiling, benefiting from oncology diagnostics tailwinds and pharma partnerships. Healthcare is showing selective strength, and ADPT's MRD franchise in blood cancer monitoring is a durable niche with limited competition (ArcherDX/Invitae struggles create market share opportunity).
Breakout Signal
Close above \$26.68 on vol >244% of 20d avg
Institutional
Volume spike to 2.44x with RS line at new high is a classic institutional accumulation signature. The 126M float and \$4.3B market cap are institutional-digestible, and the stock's ability to print new RS highs suggests smart money is rotating in ahead of the November catalyst. No insider buying in last 60 days, but the technical setup speaks for itself.
Earnings
Earnings in 50D
Earnings Context
November 4 earnings. Adaptive has a mixed track record-revenue growth has been lumpy due to pharma partnership timing and clonoSEQ adoption pace. The breakout 50 days ahead of the print suggests positioning for an inflection in MRD test volumes or partnership milestone payments.
Key Risk
Thesis invalidated on a close back below \$24.80 (the base breakout level), or if November 4 earnings show clonoSEQ revenue deceleration or partnership delays that challenge the commercial inflection narrative.
Analysis
RS line at new high + prox_52w 97.6% + volume surge 2.44x + tight base (2.25) + durable November catalyst = A-grade per methodology. Disconfirming evidence: the base is slightly wider than ideal (2.25 vs <2.0 textbook), and Healthcare IT is not a leading sector this week-this is a stock-specific story, not a sector wave. Still, the RS leadership and technical quality earn the A. Conviction: Medium (clean setup but mixed macro and lack of sector tailwind cap conviction at Medium vs High).
Signal: Close above \$26.68 on vol >244% of 20d avg
Vol vs Avg: 2.44x



PBF

PBF Energy Inc.

\$74.72

+6.14%

RS vs SPY: +90.4%

B STRONG SETUP

\$8.9B Cap | 102M Float

Oil & Gas Refining & Marketing | Theme: Energy Refining | 52W Hi: 90% | Base Tight: 1.89 | Vol: 3.26x | RS/SPY: +90.4% | Above 20MA: YES | EARNINGS IN 44D

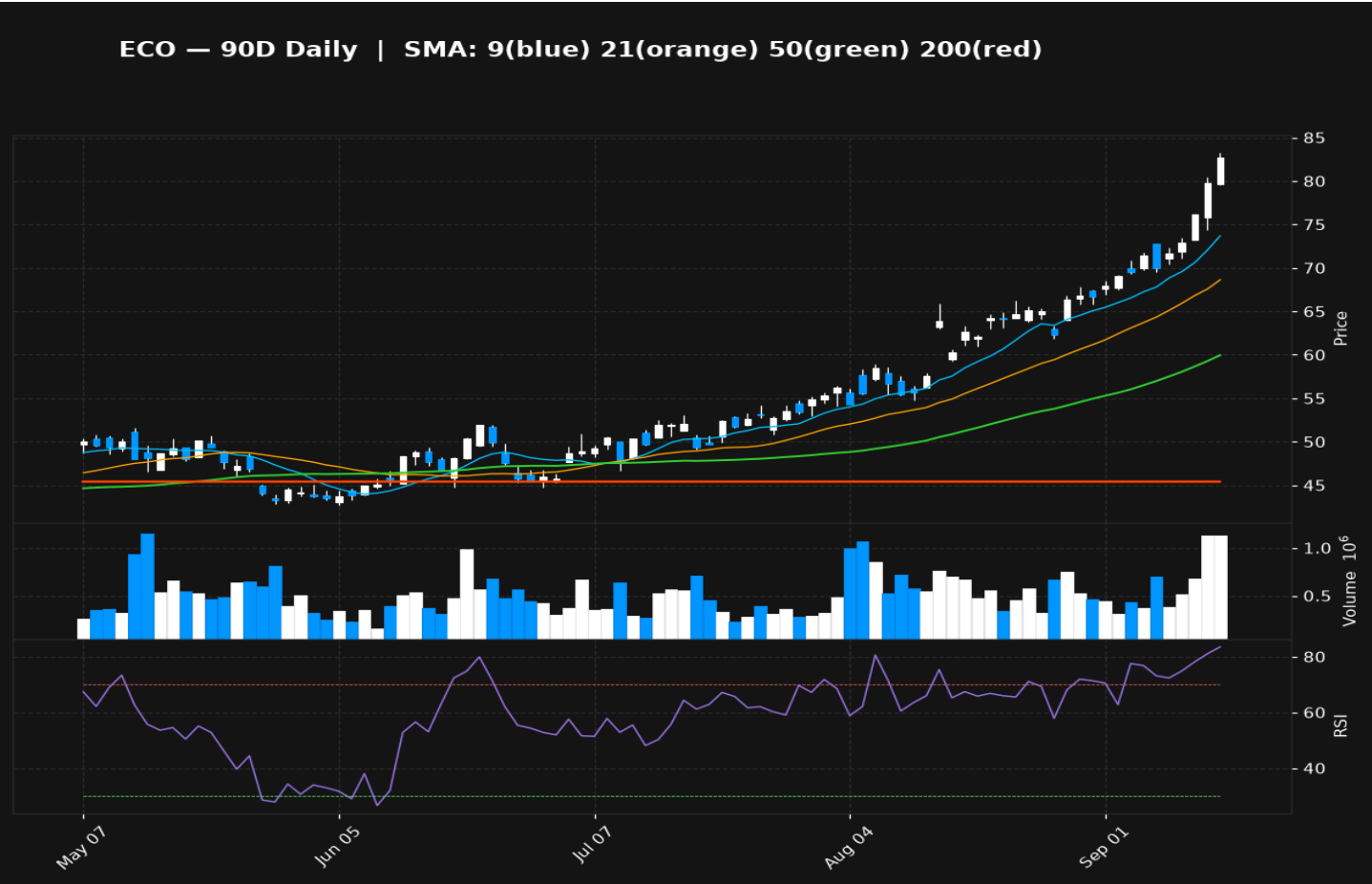
SETUP METRICS	
Price	\$74.72
Day Change	+6.14%
Mkt Cap	\$8.86B
Float	102M sh
RS vs SPY	+90.4%
52W Hi Prox	90%
Base Tight	1.89
Vol vs Avg	3.26x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout on 3.3x volume as Energy is the week's leading sector (+4.8% vs SPY), driven by widening crack spreads and refining margin strength. Forward catalyst: October 29 earnings will print Q3 results during peak driving season retrospective-guidance on Q4 margins and capital allocation (buybacks/dividends) can extend the move.
BUSINESS & POSITION
PBF Energy operates five refineries across the U.S. East Coast, Midwest, and West Coast, with 1.1 million barrels per day of capacity. The company is a pure-play beneficiary of refining margin expansion, particularly during supply-constrained environments when crack spreads widen.
FACTOR & THEME
Captures the Energy sector rotation, which is leading the market this week (+4.8% vs SPY). Refining margins have been volatile but structurally supported by underinvestment in global refining capacity. PBF is also a potential buyback/dividend story if free cash flow accelerates, adding shareholder-return appeal.
BREAKOUT SIGNAL
Close above \$74.72 on vol >326% of 20d avg
INSTITUTIONAL
Volume surge to 3.26x suggests institutional participation in the Energy sector rotation. The \$8.9B market cap and 102M float provide liquidity for larger allocators. No insider buying in last 60 days. The tight base (1.89 ATR) and strong RS vs SPY (90.4) indicate accumulation during the consolidation phase, though RS line is not at new high.
EARNINGS
EARNINGS IN 44D
EARNINGS CONTEXT
October 29 earnings. PBF's track record is volatile, as refining margins are notoriously cyclical. The stock's breakout ahead of the print suggests positioning for a strong Q3 on crack spread strength. Consensus will focus on Q4 guidance and capital return plans.
KEY RISK
Thesis invalidated on a close back below \$70.00 (the breakout pivot from the tight base), or if October 29 earnings show crack spread compression or weak Q4 guidance that challenges the refining margin thesis.
ANALYSIS
Strong sector tailwind (Energy leading) + tight base (1.89) + exceptional RS vs SPY (90.4) + volume surge = high-quality setup. Disconfirming evidence: RS line is NOT at new high, which downgrades from A to B per Qullamaggie methodology-this is the single strongest piece of evidence that institutional confirmation is incomplete. Still, the sector leadership and base tightness make this a compelling B-grade follow-through candidate. Conviction: Medium (sector leadership is strong but RS line absence + mixed macro + cyclical earnings risk temper full conviction).
Signal: Close above \$74.72 on vol >326% of 20d avg
Vol vs Avg: 3.26x



SETUP METRICS	
Price	\$82.73
Day Change	+3.78%
Mkt Cap	\$3.23B
Float	10M sh
RS vs SPY	+72.4%
52W Hi Prox	99%
Base Tight	6.58
Vol vs Avg	2.09x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Printing new 52W highs on 2.1x volume with RS line at new high, driven by crude tanker rate strength and Energy sector leadership. Forward catalyst: November 11 earnings will report Q3 results during a period of elevated tanker rates-guidance on Q4 and 2027 charter renewals could extend the shipping super-cycle thesis.
BUSINESS & POSITION
Okeanis Eco Tankers operates a modern fleet of 15 Suezmax and Aframax crude oil tankers, with eco-design vessels that command premium charter rates. The company is a pure-play beneficiary of tanker rate cycles, particularly during periods of ton-mile demand increases (geopolitical rerouting, refinery restocking).
FACTOR & THEME
Leveraged to Energy sector strength (leading sector this week at +4.8% vs SPY) and global crude tanker rate dynamics. Shipping is in a potential super-cycle as older tonnage is retired and geopolitical disruptions (Russia/Ukraine, Middle East) increase ton-mile demand. ECO's eco-fleet positioning captures ESG premiums on charter rates.
BREAKOUT SIGNAL
Close above \$82.73 on vol >209% of 20d avg
INSTITUTIONAL
Volume surge to 2.09x with RS line at new high on a micro-float (9.9M shares) creates explosive short-squeeze and momentum dynamics. The tiny float means even modest institutional buying can drive outsized moves. No insider buying, but the technical breakout with RS leadership on a stock at 99.4% of 52W high is textbook momentum. Caution: liquidity risk on the exit.
EARNINGS
EARNINGS IN 57D
EARNINGS CONTEXT
November 11 earnings. Okeanis has historically delivered volatile results tied to spot tanker rates and charter contract timing. The breakout suggests positioning for strong Q3 tanker rates and optimistic Q4/2027 guidance. Shipping stocks often re-rate sharply on dividend/buyback announcements.
KEY RISK
Thesis invalidated on a close back below \$78.00 (prior range high), or if November 11 earnings show tanker rate deterioration or weak charter renewal guidance that challenges the super-cycle thesis. Liquidity risk: the 9.9M float can gap violently in both directions.
ANALYSIS
RS line at new high + prox_52w 99.4% + strong sector tailwind (Energy leading) = compelling setup. Disconfirming evidence: the base is extremely wide (6.58 ATR range), which disqualifies this from A-grade despite the RS line at new high-the consolidation was too volatile to be institutional-quality. The micro-float (9.9M) also adds execution risk. Downgrading to B despite multiple A-grade signals due to base quality and liquidity concerns. Conviction: Medium (clean breakout but base width + micro-float + mixed macro limit conviction).
Signal: Close above \$82.73 on vol >209% of 20d avg
Vol vs Avg: 2.09x



ZD

Ziff Davis, Inc.

\$59.21

+3.24%

RS vs SPY: +27.6%

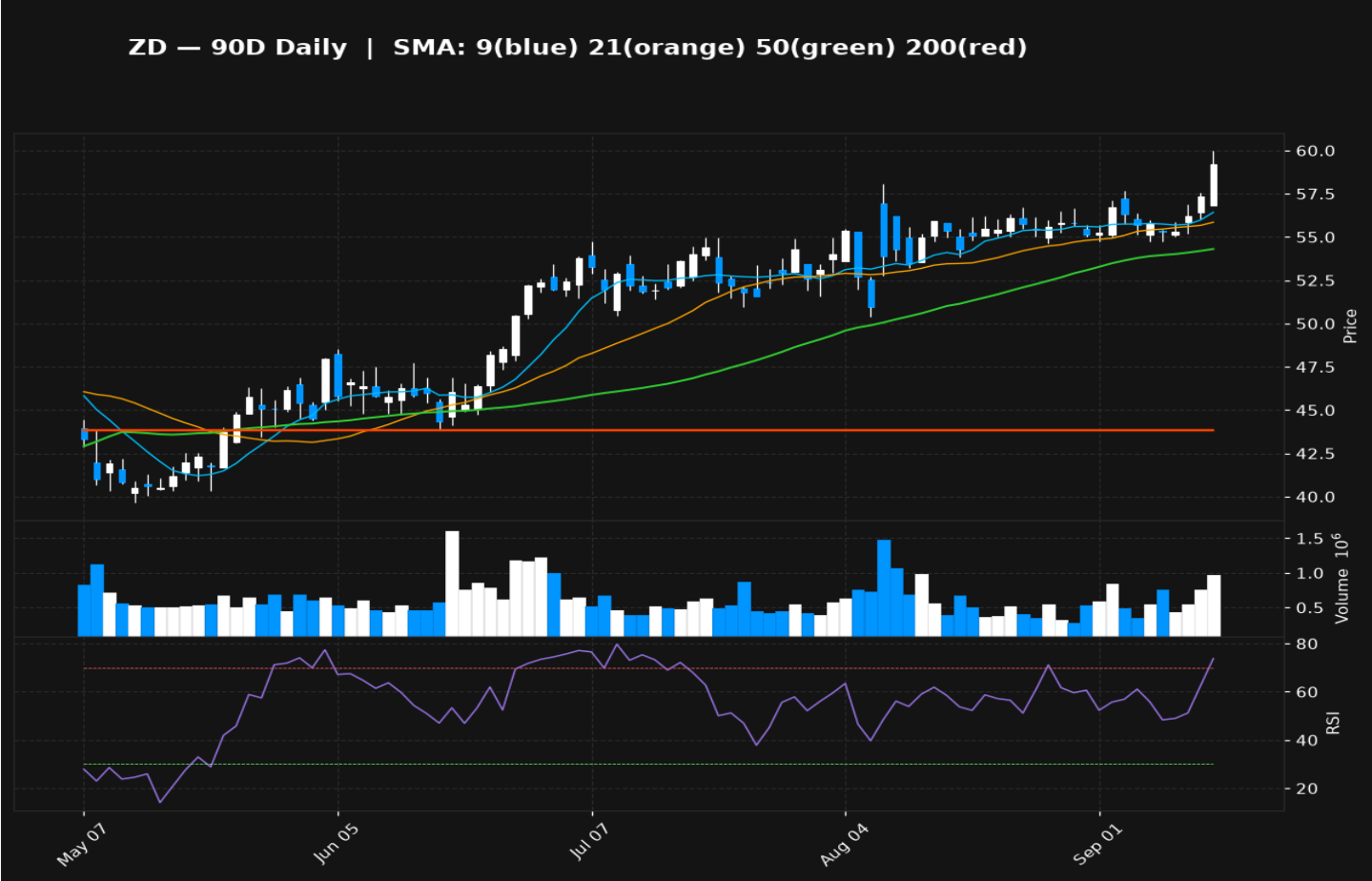
B STRONG SETUP

\$2.0B Cap | 30M Float

Advertising Agencies | Theme: Digital Media | 52W Hi: 99% | Base Tight: 2.96 | Vol: 1.91x | RS/SPY: +27.6% | Above 20MA: YES | EARNINGS IN 51D

SETUP METRICS	
Price	\$59.21
Day Change	+3.24%
Mkt Cap	\$2.03B
Float	30M sh
RS vs SPY	+27.6%
52W Hi Prox	99%
Base Tight	2.96
Vol vs Avg	1.91x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breaking out to within 1% of 52W highs on 1.9x volume with RS line at new high, driven by Communications sector leadership (+4.5% vs SPY) and potential digital ad spend recovery. Forward catalyst: November 5 earnings will report Q3 digital media and performance marketing results-any guidance raise on Q4 ad spend or subscription growth can extend the move.
BUSINESS & POSITION
Ziff Davis operates a portfolio of digital media brands (IGN, Mashable, PCMag) and performance marketing (Consensus, Salesforce app marketplace). The company is a roll-up story with multiple revenue streams (advertising, subscriptions, e-commerce, B2B lead gen), providing diversification across the digital media ecosystem.
FACTOR & THEME
Captures Communications sector strength (leading sector this week at +4.5% vs SPY) and potential recovery in digital ad spend after a multi-year downturn. ZD's B2B marketing arm (Consensus) also benefits from enterprise software spending, adding a counter-cyclical element to the ad-driven consumer exposure.
BREAKOUT SIGNAL
Close above \$59.21 on vol >191% of 20d avg
INSTITUTIONAL
Volume surge to 1.91x with RS line at new high suggests institutional accumulation ahead of the November catalyst. The 30M float and \$2B market cap are institutional-digestible. No insider buying in last 60 days, but the technical breakout at 98.7% of 52W high with sector leadership is a quality signal. Caution: ad-driven media is a crowded trade when it works.
EARNINGS
EARNINGS IN 51D
EARNINGS CONTEXT
November 5 earnings. Ziff Davis has a mixed track record on beats/misses, as ad revenue is cyclical and lumpy. The breakout suggests positioning for an ad spend recovery or strong subscription/B2B revenue. Consensus will focus on Q4 guidance and any M&A activity (ZD is a serial acquirer).
KEY RISK
Thesis invalidated on a close back below \$57.00 (the prior base breakout level), or if November 5 earnings show ad revenue deterioration or weak Q4 guidance that challenges the digital media recovery thesis. Ad-driven stocks are highly macro-sensitive.
ANALYSIS
RS line at new high + prox_52w 98.7% + sector leadership (Comms +4.5%) = quality setup. Disconfirming evidence: RS vs SPY is weak at only +27.6%, indicating this is more of a sector-relative play than a true market leader-without the Communications sector tailwind, ZD would likely be flat. The volume is also borderline at 1.91x (just below the 2x threshold for A-grade conviction). Solid B-grade follow-through candidate, not a market-leading A. Conviction: Medium (sector-dependent story; if Comms sector fades, ZD likely follows).
Signal: Close above \$59.21 on vol >191% of 20d avg
Vol vs Avg: 1.91x



TALO

Talos Energy, Inc.

\$18.33

+3.79%

RS vs SPY: +31.6%

B STRONG SETUP

\$3.1B Cap | 126M Float

Oil & Gas E&P | Theme: Oil & Gas E&P | 52W Hi: 98% | Base Tight: 2.37 | Vol: 2.41x | RS/SPY: +31.6% | Above 20MA: YES | EARNINGS IN 50D

SETUP METRICS	
Price	\$18.33
Day Change	+3.79%
Mkt Cap	\$3.06B
Float	126M sh
RS vs SPY	+31.6%
52W Hi Prox	98%
Base Tight	2.37
Vol vs Avg	2.41x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Breaking out to within 2% of 52W highs on 2.4x volume, riding the Energy sector leadership wave (+4.8% vs SPY) and crude oil price strength. Forward catalyst: November 4 earnings will report Q3 Gulf of Mexico production and well results-any reserve additions or production guidance raises can extend the move into year-end.

BUSINESS & POSITION

Talos Energy is a Gulf of Mexico-focused E&P with offshore assets and recent expansion into onshore Permian and CCS (carbon capture/storage) ventures. The company is a leveraged play on crude oil prices and Gulf production optimization, with option value on the emerging CCS business.

FACTOR & THEME

Pure Energy sector play, benefiting from the week's strongest sector performance (+4.8% vs SPY). Talos also has exposure to the emerging CCS theme (ESG/decarbonization), which could provide a valuation re-rate if the CCS business scales. Gulf of Mexico E&P is capital-efficient relative to shale.

BREAKOUT SIGNAL

Close above \$18.33 on vol >241% of 20d avg

INSTITUTIONAL

Volume spike to 2.41x suggests sector rotation into Energy E&P names. The 126M float and \$3B market cap are institutional-digestible. No insider buying in last 60 days. RS line is NOT at new high, indicating this is a sector-driven move rather than stock-specific institutional conviction-follow-through depends on Energy sector sustaining leadership.

EARNINGS

EARNINGS IN 50D

EARNINGS CONTEXT

November 4 earnings. Talos has a mixed earnings history, with results highly sensitive to crude oil prices and Gulf production volumes. The breakout suggests positioning for strong Q3 results and optimistic Q4 production guidance. Any CCS business updates could also drive a re-rate.

KEY RISK

Thesis invalidated on a close back below \$17.00 (the base breakout level), or if November 4 earnings show production misses or weak guidance that challenges the Gulf of Mexico growth thesis. Highly sensitive to crude oil price volatility.

ANALYSIS

Strong sector tailwind (Energy leading) + tight base (2.37) + prox_52w 97.9% + volume surge 2.41x = quality setup. Disconfirming evidence: RS line is NOT at new high, and RS vs SPY is only +31.6%-this is a sector rotation play, not a market-leading stock. Without Energy sector leadership, TALO likely stalls. Base quality is good but not textbook (<2.0 would be A-grade). Solid B-grade follow-through candidate. Conviction: Medium (sector-dependent; thesis lives or dies with Energy leadership and crude oil).

Signal: Close above \$18.33 on vol >241% of 20d avg

Vol vs Avg: 2.41x



SETUP METRICS	
Price	\$33.02
Day Change	+4.00%
Mkt Cap	\$2.47B
Float	67M sh
RS vs SPY	+58.4%
52W Hi Prox	94%
Base Tight	2.6
Vol vs Avg	1.9x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Breaking out toward 52W highs on 1.9x volume, likely driven by Technology sector relative strength and potential AI-driven contact center tailwinds. Forward catalyst: November 9 earnings will report Q3 cloud contact center seat growth and any AI feature uptake-guidance on AI-driven ASP increases or customer wins can extend the move.

BUSINESS & POSITION

Five9 provides cloud-based contact center software, competing with Genesys, Nice, and Amazon Connect. The company is integrating AI/LLM capabilities (agent assist, automation) into its platform, positioning for an AI-driven re-acceleration in a mature but sticky SaaS market.

FACTOR & THEME

Exposure to AI infrastructure theme via contact center AI (agent assist, automation, voice analytics). Cloud contact center is a mature market, but AI adoption is creating a second wave of growth and ASP expansion. Five9's pivot to AI-native features is the key re-rating catalyst.

BREAKOUT SIGNAL

Close above \$33.02 on vol >190% of 20d avg

INSTITUTIONAL

Volume at 1.9x is solid but not explosive. The 67M float and \$2.5B market cap are institutional-friendly. No insider buying in last 60 days. RS line is NOT at new high, indicating this is more of a technical breakout from a base than a new leadership emergence. Follow-through depends on November earnings delivering AI traction evidence.

EARNINGS

EARNINGS IN 55D

EARNINGS CONTEXT

November 9 earnings. Five9 has a mixed beat/miss record, with growth rates decelerating in recent quarters. The breakout suggests positioning for a re-acceleration driven by AI feature adoption and seat growth. Consensus will scrutinize net revenue retention and any AI-driven pricing power.

KEY RISK

Thesis invalidated on a close back below \$31.00 (the base breakout level), or if November 9 earnings show seat growth deceleration or weak AI adoption metrics that challenge the re-acceleration thesis. Competitive pressure from Amazon Connect is a long-term risk.

ANALYSIS

Decent RS vs SPY (+58.4) + prox_52w 93.9% + volume 1.9x + AI theme = solid B-grade setup. Disconfirming evidence: RS line is NOT at new high, base is slightly wide (2.6), and Technology is the weakest of the three leading sectors this week (+0.3% vs SPY)-sector tailwind is marginal. Volume is also just below the 2x threshold for institutional conviction. This is a follow-through candidate, not a leadership breakout. Conviction: Medium (AI theme is durable but stock-specific evidence of institutional conviction is incomplete).

Signal: Close above \$33.02 on vol >190% of 20d avg

Vol vs Avg: 1.9x



SETUP METRICS	
Price	\$185.37
Day Change	+7.21%
Mkt Cap	\$6.53B
Float	34M sh
RS vs SPY	+61.9%
52W Hi Prox	92%
Base Tight	3.91
Vol vs Avg	1.83x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breaking out on 1.8x volume with a 7% gain, likely driven by cybersecurity sector strength and potential positioning ahead of November 3 earnings. Forward catalyst: November 3 earnings will report Q3 subscription revenue and billings-any beat or guidance raise on enterprise vulnerability management adoption can extend the rally.
BUSINESS & POSITION
Qualys provides cloud-based vulnerability management and compliance software, serving enterprises globally. The company is a mature SaaS player in cybersecurity, with sticky customer relationships and predictable recurring revenue, competing with Tenable and Rapid7 in the VM market.
FACTOR & THEME
Cybersecurity remains a secular growth theme, supported by ransomware risk, regulatory compliance (CMMC, NIS2), and zero-trust architecture adoption. Qualys benefits from any enterprise security spending increases, though the VM market is mature and competitive.
BREAKOUT SIGNAL
Close above \$185.37 on vol >183% of 20d avg
INSTITUTIONAL
Volume at 1.83x is modest. The 34M float and \$6.5B market cap are large-cap-adjacent, providing liquidity for institutional allocators. No insider buying in last 60 days. RS line is NOT at new high, and the base is wide (3.91), suggesting this is more of a sector-driven move than stock-specific institutional conviction. Follow-through depends on the November 3 earnings catalyst.
EARNINGS
EARNINGS IN 49D
EARNINGS CONTEXT
November 3 earnings. Qualys has a solid history of beats and steady execution, but growth rates have been decelerating as the VM market matures. The breakout suggests positioning for a beat or any commentary on accelerating enterprise security spend. Consensus will focus on billings growth and net revenue retention.
KEY RISK
Thesis invalidated on a close back below \$175.00 (the base breakout level), or if November 3 earnings show billings deceleration or weak guidance that challenges the cybersecurity spending thesis. Competition from Tenable and cloud-native vendors is a long-term headwind.
ANALYSIS
Solid RS vs SPY (+61.9) + prox_52w 92% + cybersecurity theme = decent B-grade setup. Disconfirming evidence: base is wide (3.91, well above the 2.0 VCP threshold), RS line is NOT at new high, and volume is sub-2x-these factors indicate incomplete institutional conviction. The 7% single-day gain on modest volume also raises the risk of a momentum exhaustion pop rather than a durable breakout. Cybersecurity is a durable theme but QLYS lacks the technical crispness for an A. Conviction: Medium (thematic tailwind present but technical setup is noisy).
Signal: Close above \$185.37 on vol >183% of 20d avg
Vol vs Avg: 1.83x

